

Alumex PLC

Interim Report



1

First Quarter

3 Months Ended 30th June, 2019

Income Statements

For the period ended 30th June, 2019

<u>Consolidated</u>		<u>Company</u>	<u>Consolidated</u>			<u>Company</u>		
Audited year ended 31.03.19 Rs.'000	Audited year ended 31.03.19 Rs.'000		Unaudited 3 months to 30.06.19 Rs.'000	Unaudited 3 months to 30.06.18 Rs.'000	Change %	Unaudited 3 months to 30.06.19 Rs.'000	Unaudited 3 months to 30.06.18 Rs.'000	Change %
5,132,711	4,608,312	Revenue	1,051,527	916,686	15	951,034	809,464	17
(101,711)	(91,524)	Less-NBT	(20,574)	(18,273)	13	(18,674)	(16,146)	16
5,031,000	4,516,788	Net Revenue	1,030,952	898,413	15	932,360	793,318	18
(3,877,887)	(3,672,354)	Cost of sales	(850,641)	(661,752)	29	(786,883)	(627,885)	25
1,153,113	844,434	Gross profit	180,311	236,661	(24)	145,477	165,433	(12)
9,796	127,576	Other income	3,197	1,561	>100	3,197	1,561	>100
(219,820)	(210,139)	Distribution expenses	(47,548)	(50,417)	(6)	(46,032)	(48,340)	(5)
(348,964)	(328,165)	Administrative expenses	(81,975)	(77,223)	6	(71,111)	(72,407)	(2)
594,125	433,706	Results from operating activities	53,985	110,583	(51)	31,531	46,247	(32)
23,019	21,235	Finance Income	3,138	2,131	47	2,988	1,942	54
(440,309)	(425,414)	Finance Costs	(111,979)	(62,769)	78	(109,125)	(58,512)	87
(417,290)	(404,179)	Net finance costs	(108,842)	(60,638)	79	(106,138)	(56,569)	88
176,835	29,527	Profit before tax	(54,857)	49,944	>100	(74,606)	(10,322)	>100
(50,355)	25,421	Income Tax (Expenses)/Reversal	15,058	(9,911)	>100	19,421	2,923	>100
126,480	54,948	Profit for the period	(39,799)	40,033	>100	(55,186)	(7,400)	>100
126,480		Attributable to: Owners of the parent	(39,799)	40,033				
0.42	0.18	Earnings per share Basic earnings per share (Rs.)	(0.13)	0.13		(0.18)	(0.02)	

Statements of Comprehensive Income

<u>Consolidated</u>		<u>Company</u>	<u>Consolidated</u>			<u>Company</u>		
Audited year ended 31.03.19 Rs.'000	Audited year ended 31.03.19 Rs.'000		Unaudited 3 months to 30.06.19 Rs.'000	Unaudited 3 months to 30.06.18 Rs.'000	Change %	Unaudited 3 months to 30.06.19 Rs.'000	Unaudited 3 months to 30.06.18 Rs.'000	Change %
126,480	54,948	Profit for the Period	(39,799)	40,033	>100	(55,186)	(7,400)	>100
		Other Comprehensive Income						
2,210	1,385	Actuarial gains / (losses) on defined benefit plans	-	-		-	-	-
(553)	(388)	Income tax effect on actuarial gains / (losses)	-	-		-	-	-
210,263	201,263	Revaluation of land	-	-		-	-	-
(58,154)	(56,354)	Income tax effect on Revaluation of Land	-	-		-	-	-
153,766	145,906	Other comprehensive Income for the period, net of tax	-	-		-	-	-
280,246	200,854	Total comprehensive Income for the period, net of tax	(39,799)	40,033	>100	(55,186)	(7,400)	>100
280,246		Attributable to Owners of the parent	(39,799)	40,033				

Statements of Financial Position

<u>Consolidated</u>		<u>Company</u>	<u>Consolidated</u>		<u>Company</u>	
Audited	Audited		Unaudited	Unaudited	Unaudited	Unaudited
as at	as at		as at	as at	as at	as at
31.03.19	31.03.19		30.06.19	30.06.18	30.06.19	30.06.18
Rs.'000	Rs.'000		Rs.'000	Rs.'000	Rs.'000	Rs.'000
ASSETS						
Non - current assets						
3,772,972	3,568,970	Property, plant & equipment	3,761,895	3,459,003	3,560,771	3,260,725
-	-	Right-of-use assets / Lease assets	50,316	-	50,316	-
55,124	55,124	Intangible assets	58,523	45,610	58,523	45,610
-	30,000	Investments in subsidiaries	-	-	30,000	30,000
3,828,096	3,654,094	Total non-current assets	3,870,734	3,504,613	3,699,610	3,336,335
Current assets						
1,855,569	1,594,881	Inventories	1,839,454	1,931,523	1,631,919	1,608,112
1,085,810	840,724	Trade and other receivables	987,490	836,124	777,372	642,718
69,365	65,573	Advances and prepayments	75,190	103,643	71,546	101,365
39,123	39,123	Income tax recoverable	45,923	20,710	45,923	20,710
98,555	59,961	Cash & cash equivalents	80,097	165,826	73,950	162,953
3,148,422	2,600,262	Total current assets	3,028,154	3,057,825	2,600,710	2,535,858
6,976,518	6,254,356	Total assets	6,898,887	6,562,438	6,300,320	5,872,193
EQUITY AND LIABILITIES						
283,735	283,735	Stated capital	283,735	283,735	283,735	283,735
228,056	228,056	Capital reserve	228,056	228,056	228,056	228,056
584,249	551,836	Revaluation reserve	582,928	436,104	550,515	410,891
1,257,255	669,910	Revenue reserves	1,218,777	1,210,083	616,046	647,498
2,353,295	1,733,537	Total equity attributable to owners of the parent	2,313,496	2,157,978	1,678,352	1,570,180
-	-	Non- controlling interest	-	-	-	-
2,353,295	1,733,537	Total Equity	2,313,496	2,157,978	1,678,352	1,570,180
Non - current liabilities						
1,198,750	1,198,750	Interest bearing borrowings	1,066,875	1,157,986	1,066,875	1,157,986
-	-	Lease liability	30,272	-	30,272	-
111,766	99,292	Employee benefit obligations	115,436	110,032	102,424	98,455
250,760	247,603	Deferred tax liability	226,509	216,681	228,182	214,562
1,561,276	1,545,645	Total non-current liabilities	1,439,092	1,484,700	1,427,753	1,471,004
Current liabilities						
1,133,900	1,114,244	Trade and other payables	1,001,100	1,057,902	1,115,525	1,117,687
527,500	527,500	Current portion of long term interest bearing borrowings	527,500	423,359	527,500	423,359
1,361,100	1,311,460	Short-term interest bearing borrowings	1,573,416	1,390,854	1,519,678	1,284,405
-	-	Current portion of lease liability	21,067	-	21,067	-
14,649	14,413	Other current financial liabilities	3,230	-	2,720	-
9,020	7,557	Provisions	9,244	6,721	7,726	5,559
15,778	-	Income tax payable	10,742	40,925	-	-
3,061,947	2,975,174	Total current liabilities	3,146,299	2,919,761	3,194,216	2,831,010
4,623,223	4,520,819	Total liabilities	4,585,391	4,404,461	4,621,969	4,302,014
6,976,518	6,254,356	Total equity and liabilities	6,898,887	6,562,438	6,300,320	5,872,193

The Financial Position as at 30th June, 2019 and Income Statements, Statements of Comprehensive Income, Changes in Equity and Cash Flow for the three months then ended are drawn up from the unaudited financial statements of the Company, its Subsidiary and they provide the information required by the Colombo Stock Exchange.

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act no 7 of 2007 .

Sgd

R P P K Rajapaksha

Director / Chief Financial Officer

Signed for and on behalf of the Board

Sgd

A M Pandithage

Chairman

30th July 2019

Sgd

D W P N Dediwela

Managing Director

Statements of Changes in Equity

For the period ended 30th June, 2019

Consolidated

	Attributable to owners of the parent					
	Stated capital	Capital reserve	Revaluation reserve	Retained earnings	Shareholders' Funds	Total Equity
	Rs. '000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 1st at April, 2019	283,735	228,056	584,249	1,257,255	2,353,295	2,353,295
Profit for the period	-	-	-	(39,799)	(39,799)	(39,799)
Other Comprehensive Income						
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-	-
Revaluation of land	-	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	(39,799)	(39,799)	(39,799)
Transactions with owners, recorded directly in equity						
Dividends to equity holders	-	-	-	-	-	-
Recovery for the period	-	-	-	-	-	-
Transfers	-	-	(1,321)	1,321	-	-
Total contributions by and distributions to owners	-	-	(1,321)	1,321	-	-
Balance as at 30th June 2019	283,735	228,056	582,928	1,218,777	2,313,496	2,313,496
Balance as at 1st at April, 2018	283,735	228,056	437,425	1,303,415	2,252,631	2,252,631
Profit for the period	-	-	-	40,033	40,033	40,033
Other Comprehensive Income						
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-	-
Revaluation of land	-	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	40,033	40,033	40,033
Transactions with owners, recorded directly in equity						
Dividends to equity holders	-	-	-	(134,686)	(134,686)	(134,686)
Recovery for the period	-	-	-	-	-	-
Transfers	-	-	(1,321)	1,321	-	-
Total contributions by and distributions to owners	-	-	(1,321)	(133,365)	(134,686)	(134,686)
Balance as at 30th June 2018	283,735	228,056	436,104	1,210,083	2,157,978	2,157,978

Statements of Changes in Equity

For the period ended 30th June, 2019

Company

	Stated capital	Capital reserve	Revaluation reserve	Retained earnings	Total
	Rs. '000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 1st at April, 2019	283,735	228,056	551,836	669,910	1,733,538
Profit for the period	-	-	-	(55,186)	(55,186)
Other Comprehensive income					-
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-
Income tax effect on actuarial gains / (losses)				-	-
Revaluation of land	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	(55,186)	(55,186)
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	-	-
Transfers			(1,321)	1,321	-
Total contributions by and distributions to owners	-	-	(1,321)	1,321	-
Balance as at 30th June 2019	283,735	228,056	550,515	616,046	1,678,352
Balance as at 1st at April, 2018	283,735	228,056	412,212	788,262	1,712,266
Profit for the period	-	-	-	(7,400)	(7,400)
Other Comprehensive income					-
Actuarial gains / (losses) on defined benefit plans				-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-
Revaluation of land	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	(7,400)	(7,400)
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	(134,686)	(134,686)
Transfers			(1,321)	1,321	-
Total contributions by and distributions to owners	-	-	(1,321)	(133,365)	(134,686)
Balance as at 30th June 2018	283,735	228,056	410,891	647,498	1,570,180

Cash Flow Statements

For the period ended 30th June, 2019

Consolidated	Company		Consolidated		Company	
			Unaudited	Unaudited	Unaudited	Unaudited
Audited	Audited		3 months to	3 months to	3 months to	3 months to
as at	as at		30.06.19	30.06.18	30.06.19	30.06.18
31.03.19	31.03.19		Rs.'000	Rs.'000	Rs.'000	Rs.'000
Rs.'000	Rs.'000					
176,835	29,527	Cash Flows from Operating Activities				
		Profit before taxation	(54,857)	49,944	(74,606)	(10,322)
		Adjustments for,				
329,048	323,496	Finance cost	100,898	53,004	99,403	50,799
(11,944)	(10,458)	Finance income	(1,064)	(1,323)	(915)	(1,135)
20,273	18,086	Provision for gratuity	4,750	3,272	4,210	2,807
(283)	(283)	(Profit)/ loss on disposal of property, plant and equipment	-	-	-	-
20,335	14,717	Provision for bad debts	16,382	10,899	9,408	9,947
196,651	182,549	Depreciation and amortisation	50,487	30,823	54,298	27,771
730,915	644,837	Operating profit before working capital changes	116,595	146,619	91,799	79,867
(68,093)	(151,003)	(Increase)/ decrease in inventories	16,115	(144,046)	(37,030)	(164,233)
(148,789)	(62,911)	(Increase)/ decrease in trade and other receivables	73,253	134,400	47,134	159,480
(8,877)	(7,482)	(Increase)/ decrease in advances and prepayments	(5,825)	(43,154)	(5,971)	(43,275)
11,020	(15,343)	Increase/ (decrease) in trade and other payables	(99,099)	(37,030)	27,518	16,587
516,176	320,895	Cash generated from operating activities	101,040	56,787	123,449	48,425
(329,048)	(323,496)	Finance cost paid	(99,197)	(53,004)	(97,702)	(50,799)
(92,439)	-	Income tax paid	(12,345)	(7,875)	-	-
(14,527)	(14,054)	Retirement benefit liability paid	(1,078)	(1,468)	(1,078)	(996)
80,162	(16,655)	Net cash from operating activities	(11,581)	(5,561)	24,668	(3,370)
		Cash Flows from Investing Activities				
(489,886)	(479,830)	Acquisition of property, plant and equipment	(36,893)	(200,077)	(36,446)	(197,796)
11,044	11,044	Proceeds from sale of property, plant and equipment	-	-	-	-
11,944	10,458	Finance income received	1,064	1,323	915	1,135
(466,898)	(458,328)	Net cash flows used in investing activities	(35,828)	(198,754)	(35,531)	(196,661)
		Cash Flows from Financing Activities				
(461,878)	(461,878)	Repayment of interest bearing loans and borrowings	(131,875)	(105,405)	(131,875)	(105,405)
674,378	674,378	Proceeds from interest bearing loans and borrowings	-	173,000	-	173,000
-	-	Lease Rental Paid	(6,595)	-	(6,595)	-
(134,686)	(134,686)	Dividend paid	(44,895)	(134,686)	(44,895)	(134,686)
77,814	77,814	Net cash flows from/ (used in) financing activities	(183,365)	(67,091)	(183,365)	(67,091)
(308,922)	(397,169)	Net increase/ (decrease) in cash and cash equivalents	(230,774)	(271,405)	(194,228)	(267,121)
(953,623)	(854,330)	Cash and cash equivalents at the beginning of the period	(1,262,545)	(953,623)	(1,251,499)	(854,330)
(1,262,545)	(1,251,499)	Cash and cash equivalents at end of the period	(1,493,319)	(1,225,028)	(1,445,727)	(1,121,451)
		Analysis of Cash & Cash Equivalents				
98,556	59,961	Cash in Hand and at Bank	80,097	165,826	73,950	162,953
(1,361,100)	(1,311,460)	Short-term interest bearing borrowings	(1,573,416)	(1,390,854)	(1,519,678)	(1,284,405)
(1,262,544)	(1,251,499)	Cash and cash equivalents at end of the period	(1,493,319)	(1,225,028)	(1,445,727)	(1,121,451)

Notes to the Financial Statements

- 1 The Interim Condensed Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard LKAS 34- Interim Financial Reporting. These interim condensed financial statements should be read in conjunction with the annual financial statements for the year ended 31st March 2019.

There were no changes to the Accounting Policies and methods of computation since the publication of the Annual Report for the year ended March 31, 2019, except for the Accounting Policies and methods of computation adopted to be in compliant with the requirements of the Sri Lanka Accounting Standard SLFRS - 16 on Leases, which became effective for Annual Financial periods from January 01, 2019.

SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases for both parties to a contract, i.e. the customer ('Lessee') and the supplier ('Lessor'). SLFRS 16 replaced Sri Lanka Accounting Standard – LKAS 17 (Leases) and related interpretations.

The Interim Condensed Financial Statements also provide information required by the Colombo Stock Exchange.

- 2 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements.
- 3 Basic Earning Per Share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of shares outstanding during the period

<u>Consolidated</u>		<u>Consolidated</u>	
Audited as at 31.03.19		Unaudited as at 30.06.19	Unaudited as at 30.06.18
<u>Rs.'000</u>		<u>Rs.'000</u>	<u>Rs.'000</u>
126,480	Profit for the Period	(39,799)	40,033
299,302,840	Weighted Average No. of Shares	299,302,840	299,302,840
0.42	Earning Per share	(0.13)	0.13

4 STATED CAPITAL

Audited as at 31.03.19		Unaudited as at 30.06.19	Unaudited as at 30.06.18
<u>Rs.'000</u>		<u>Rs.'000</u>	<u>Rs.'000</u>
283,735	Issued and fully paid	283,735	283,735
299,302,840	Ordinary Shares		

- 5 During the period there were no material changes in the composition of assets, liabilities and contingent liabilities and there is no seasonality and cyclicity affecting the interim operation.
- 6 Previous year's figures and phrases have been re-arranged wherever necessary to conform to current year presentation.

Investor Information

MARKET VALUE OF SHARES

The market value of an ordinary share of Alumex PLC was as follows:

	30.06.2019	30.06.2018
	Rs.	Rs.
Closing price on	10.00	14.10
Highest price recorded for the three months ending	10.30	18.00
Lowest price recorded for the three months ending	8.50	13.90
Market capitalisation (Rs. Mn.)	2,993	4,220

RATIOS

	30.06.2019	30.06.2018
Net assets per share	7.73	7.21
Price earnings ratio (times) (Annualised)	(18.80)	26.35
Return on Equity	-7.12%	7.42%
Return on Assets	-2.31%	2.44%
Current Ratio	0.96	1.05
Gearing	57.79%	57.94%

DIVIDEND PAYMENT

Interim Dividend 2018/19 - Rs.0.15 per share paid on 18th April , 2019.

SHARE TRADING FROM 1ST APRIL, 2019 TO 30TH JUNE, 2019

No. of transactions	925
No. of shares traded	1,918,235
Value of shares traded (Rs.)	18,079,709

Investor Information

FIRST TWENTY SHAREHOLDERS AS AT 30 JUNE 2019

	Name of the Shareholder	No.of Shares	%
1	Hayleys PLC	157,413,032	52.59
2	Akbar Brothers Pvt Ltd A/C No.1	40,617,782	13.57
3	Rosewood (Pvt) Ltd - Account No.01	29,340,300	9.80
4	Dean Foster (Pvt) Ltd A/C No.1	14,213,900	4.75
5	Mr.D.W.P.N.Dediwela	10,669,200	3.56
6	Sampath Bank PLC/Dr.T.Senthilvel	2,208,041	0.74
	Dr.T.Senthilvel	1,179,775	0.39
7	Mrs.G. I. Vasunthara	1,500,000	0.50
8	Peoples Bank	1,498,732	0.50
9	Ceylon Investment PLC A/C No.1	1,352,489	0.45
10	Mr.T.H.D.I.U.Thrimanne	1,081,040	0.36
11	Asia Securities (Pvt) Ltd (Trading Account)	1,000,000	0.33
	Insite Holdings (Pvt) Ltd	1,000,000	0.33
	Mr.K.D.H.Perera	1,000,000	0.33
12	Hatton National Bank PLC A/C No.4 (HNB Retirement Pension Fund)	858,230	0.29
13	Arunodhaya Industries (Private) Limited	850,000	0.28
14	Arunodhaya Investments (Private) Limited	760,000	0.25
15	Arunodhaya (Private) Limited	750,000	0.25
16	Commercial Bank of Ceylon PLC A/C No.01	714,200	0.24
	Mr.S.J.Hirdaramani	714,200	0.24
17	The Ceylon Chamber of Commerce Account No.02	630,000	0.21
18	Mr.K.N.J.Balendra	622,365	0.21
19	Guardian Fund Management Limited/The Aitken Spence & Associated Companies Executive Staff Provident Fund	600,000	0.20
20	Commercial Bank of Ceylon PLC/Andaradeniya Estate (Pvt) Ltd	592,976	0.20
	Total	271,166,262	90.60

There were no non voting shares as at 30th June 2019

PUBLIC HOLDING

Percentage of public holding as at 30.06.2019 15.65%

Total number of shareholders representing the public holding 2,450

Flot-adjusted market capitalization Rs.465,715,219/-

The Company complies with option 2 of the Listing Rules 7.13.1 (b) – Less than Rs.1 Bn Float Adjusted Market Capitalization which requires 10% minimum Public Holding.

DIRECTORS' SHAREHOLDINGS AS AT 30 JUNE 2019

Directors' holdings of ordinary shares in the Company were as follows

Name of Director	No.of Shares
Mr.A.M.Pandithage	10,000
Mr.D.W.P.N.Dediwela	10,669,200
Mr.S.C.Ganegoda	45,239
Mr.R.P.Pathirana	243,949
Mr.S.Munaweera	20,000
Mr.R.P.P.K. Rajapaksha	19,907
Mr.T.Akbarally (Alt. Director to Mr.A.A.Akbarally)	100,000
Total	11,108,295

Corporate Information

NAME OF COMPANY

Alumex PLC

(A limited Liability company, incorporated in Sri Lanka in 2007)

COMPANY NUMBER

PV 539 PQ

STOCK EXCHANGE LISTIN

The ordinary shares of the Company are listed with the Colombo Stock Exchange of Sri Lanka on 31 March 2014

REGISTERED OFFICE

Pattiwila Road,

Sapugaskanda, Makola,

Sri Lanka

Telephone: +94 11 240 0332

Facsimile: +94 11 240 0415

Website: www.alumexgroup.com

DIRECTORS

A M Pandithage – Chairman

D W P N Dediwela -Managing Director

S C Ganegoda

R P Pathirana

A A Akbarally

Dr.H.Cabral, PC

S Munaweera

R P P K Rajapaksha

A J Hirdaramani (Alternate Director to R P Pathirana)

T Akbarally (Alternate Director to A A Akbarally)

AUDIT COMMITTEE

S Munaweera - Chairman

Dr.H.Cabral, PC

R P Pathirana

REMUNERATION COMMITTEE

Dr.H.Cabral, PC – Chairman

S Munaweera

SUBSIDIARY COMPANIES

Alco Industries (Pvt) Ltd

AUDITORS

Ernst & Young

Chartered Accountants

No. 201, De Seram Place

Colombo 10, Sri Lanka

INVESTOR RELATIONS

Please contact Corporate Affaires Unit

Telephone: +94 11 262 7610

E-mail: info@cau.hayleys.com

SECRETARIES

Hayleys Group Services (Private) Limited

400, Deans Road, Colombo 10, Sri Lanka

Telephone: +94 11 262 7650

Facsimile: +94 11 262 7645

E-mail: info.sec@hayleys.com

Please direct any queries about the administration of shareholdings to the Company Secretaries

BANKERS

Commercial Bank of Ceylon PLC

Foreign Branch

Commercial House, NO 21, Sir Razik Fareed Mawatha

Colombo 01, Sri Lanka

Sampath Bank PLC

Head Office,

No. 110, Sir James Peiris Mawatha

Colombo 02, Sri Lanka

Bank Of Ceylon

Personal Branch

2nd Floor, Head Office

No. 04, Bank of Ceylon Mawatha

Colombo 01, Sri Lanka

Hatton National Bank PLC

Head office, No. 479, T. B. Jayah Mawatha

Colombo 10, Sri Lanka

DFCC Bank PLC

No. 73, W A D Ramanayake Mawatha

Colombo 02, Sri Lanka

Standard Chartered Bank

37 York Street

Colombo 1

People's Bank

Head Office, No.75, Sir Chittampalam A Gardiner Mawatha

Colombo 02

Nations Trust Bank

No.242 Union Place, Colombo 02.